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The Impact of Economic Development on Democracy

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Since the Second World War, two main research traditions have tackled the questions of which social and economic conditions most favor democracy: cross-national quantitative studies and comparative historical work. These two different methods have tended toward different theoretical positions, and more troublesome, arrived at contradictory results.

One seminal work in the cross-national quantitative research program was Seymour Martin Lipset's (1959) essay on "Some social requisites of democracy: economic development and political legitimacy." These studies assembled a narrow range of aggregate data on development and democracy for many countries, converted them into standardized numerical values, and performed increasingly sophisticated statistical analyses of this material. Their theoretical interpretations were first inspired by modernization theory—a conception in which society, economy and polity are systematically interrelated, integrated by an overarching value consensus, and subject to increasing specialization and differentiation of social structures—while later research focused more on specific hypotheses and refrained from broader theoretical assumptions. Even though these studies used a variety of indicators for development and democracy and examined different samples of countries, they consistently arrived at one major result: the level of economic development correlated positively with

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democracy. The interpretation of this result offered in these studies put primary emphasis on the spread of communication and education and the growth of the middle classes, all of which were supposed to lead to greater political interest and tolerance among growing numbers of citizens, thus creating the behavioral basis for democratic governance.

This result was questioned by a number of comparative historical studies. The most eminent example of this alternate line of research was Barrington Moore's *The Social Origins of Dictatorship and Democracy* (1966). Moore's work, as well as other historical studies of the relationship between capitalist development and democracy from Max Weber (1906) to Guillermo O'Donnell (1973), have come to skeptical conclusions about the chances of democracy as capitalist economic development spread around the globe. These studies were built on the intensive analysis of a few cases and informed by a conflict-oriented political economy approach—an approach which places the relationship between economic and political power at the center of analysis, puts less store by the systemic integration of societies, and sees social change as driven by conflicting interests of social actors. As Moore (1966, p. 5) expressed the essence of their conclusions, "the route that ended up in capitalist democracy... was itself a part of history that almost certainly will not be repeated."

We took this impasse in research on the impact of development on democracy as the point of departure for our own work, and we hope that our analysis has broken the impasse.

Methods, Theory, and Major Results

Any account of the social and economic conditions of democracy must come to terms with the central finding of the cross-national statistical research: a sturdy (though not perfect) association between economic development and democracy. But these correlations do not validate the theoretical accounts that have often been associated with them, in particular modernization theory. Nor do cross-sectional correlations allow us to make adequate inferences about causal sequence. Similar outcomes might be produced by a variety of factors and causal sequences.

To tackle these questions of causation, we adopted a strategy of analytic induction based on comparative historical research. This strategy is a case-based method of study, which builds on a theoretical framework that takes past research into account, and then proceeds by analyzing successive individual histories. In this way, this method gains information on historical sequence and can do justice to the particular historical context of each factor analyzed. Each case may modify both the specific hypotheses used in earlier analyses and the broader theoretical framework. The result is a range of cases interpreted by a single set of theoretical propositions and a progressively modified theory that is consistent with the cases studied.

From this perspective, describing our methods and theory involves specifying which cases we examined; the working definition of democracy we used; specifying a dynamic by which democracy emerges; and then finally, developing insights into how economic development affects that dynamic.

Case-based research typically encounters the problem of working with too few cases and too many variables. We sought to reduce this problem by stretching the possibilities of comparative historical analysis to the limit and examining a large number of countries in three groups: the currently advanced capitalist countries, South America, and the Central American-Caribbean basin. These countries include most democracies in the world today and most historical experiments with democracy; they also represent a larger number of cases than are used by quite a few cross-national statistical studies.

What is the theoretical framework we used to analyze these histories? We begin by defining democracy as having three features: regular free and fair elections of representatives on the basis of universal suffrage; responsibility of the state apparatus to the elected representatives; and guarantees of freedom of expression and association. This definition, though relatively standard in the literature on the subject, gives greater weight than common usage to the universality of suffrage, in particular to the extent in which the right to vote cuts across boundaries of region, religion, ethnicity, and—above all—social class.[1] Thus, neither the Greek city states, which excluded slaves and residents without citizenship from suffrage, nor mid-nineteenth century Great Britain, which denied the vote to the vast majority of citizens, were democracies by this definition, even though in both cases public policy was openly discussed and voted on. Democracy must in our view mean at a minimum a significant share of the many in political decision-making. However, while our comparative historical work emphasizes the attainment of full democracy, it also extends to the building blocks for full democracy, such as responsible government with restricted suffrage, and thus its validity does not stand and fall with this emphasis on universal suffrage.

Our most basic assumption is that democracy is a matter of power and power sharing. This fundamental premise led us to focus on three power clusters as primarily relevant for the chances of democracy: (1) *the balance of class power* as the most important aspect of the balance of power in civil society; (2) *the nature of the state and state-society relations*, or the balance of power between state and civil society; and (3) *transnational structures of power*, or the international economy and system of states, as they shape the first two balances and constrain political decision-making.

For a society to become democratic, the power balance in civil society has to shift. Civil society is the public sphere distinguished from the state, the economy and the web of family and kin relations. It comprises all social groups,

[1]We choose universal male suffrage as a criterion because the extension of female suffrage is driven by a different dynamic and thus would require a separate analysis of considerable length.

associations and institutions that are not strictly production-related, nor governmental or familial in character. Since the major power resource of the many is collective organization, their chance to organize in associations, unions and parties gains critical significance.

Among social classes we focus in the first place on dominant and subordinate positions—on landlords and peasants in the agrarian sector and on major capital owners (classically labeled the bourgeoisie) and workers in the industrial sector. Independent small and medium farmers, craftsmen, merchants, and the new white collar employees—often collectively referred to as the middle-classes —stand in between; but before the attainment of democracy they, too, were in most countries excluded from political participation. Democratic participation in political decision-making will develop and be sustained only if the economic and cultural power of dominant groups is counterbalanced in civil society by the organizational power of subordinate classes.

The structure of the state and state-society relations are also clearly relevant for the chances in democracy. The state needs to be strong and autonomous enough to ensure the rule of law and avoid being the captive of the interests of dominant groups; the state's authority to make binding decisions in a territory and the state's monopoly of coercion must be settled. The vote does not rule where it competes with the gun. However, the power of the state needs to be counterbalanced by the organizational strength of the civil society to make democracy possible; the state must not be so strong and autonomous from all social forces as to overpower civil society and rule without accountability. Thus, centralized state control over the economy and the presence of a large military and police apparatus are conditions inimical to a favorable power balance between state and civil society. The relation of the state to religious organization is another critical factor. Civil society gains strength from non-established religious movements, while an alliance of "crown and altar" strengthens the hand of the state.

The third power cluster involves international power relations. Aside from the impact of war (typically creating a need for mass support and discrediting ruling groups in case of defeat), we look especially into the role of economic and geopolitical dependence. Based on cross-national statistical results and influenced by the more historical work of the new dependency theorists (Cardoso and Faletto, 1979), we expected dependency to be an important factor but one without a clear-cut, unequivocal effect.

The three power clusters—relative class power, the role of the state, and the impact of transnational power structures—are closely interrelated. For instance, economic dependency can have long term effects on the structures of class; war and geopolitical factors can strengthen the role of the security forces within the state; and the results of power relations in civil society are crucially affected by differential access to the state apparatus.

Our central thesis, and indeed our most basic finding, can now be stated in stark fashion: Capitalist development is related to democracy because it shifts

the balance of class power, because it weakens the power of the landlord class and strengthens subordinate classes. The working and the middle classes—unlike other subordinate classes in history—gain an unprecedented capacity for self-organization due to such developments as urbanization, factory production, and new forms of communication and transportation.

This thesis negates other explanations. The primary link between capitalist development and democracy is not found in an expansion of the middle classes. Nor can the relationship be explained by the argument that more complex societies require a differentiated and flexible form of government, as modernization theory suggested. And finally democracy is not the creation of the bourgeoisie, the new dominant class of capital owners, as was claimed by both liberal and Marxist political theory. The bourgeoisie made important contributions to the move towards democracy by insisting on its share in political power in the form of parliamentary control of the state, but the bourgeoisie was also hostile to further democratization when its interests seemed threatened. In fact, one of the more important findings of our comparative research, which we did not fully anticipate, is that—especially in Latin America—the economically dominant classes accepted democracy only where their political interests were effectively protected by large parties of a conservative or non-ideological character. It is also important to note that the bourgeoisie often comes around to support democracy once it turns out that its interests can be protected within the system.

Having stated the thesis bluntly, some warnings to the reader are in order. We are not arguing that the correlation between level of development and degree of democratization is unilinear or automatic. And we certainly are not arguing that class is all that matters. Although we consider the shift in the balance of class power to be the most important factor accounting for the positive correlation between development and democracy, our analysis leaves ample room for the other two clusters of power and for complex interactions among them.

Perhaps the biggest complicating factor, given the centrality of the balance of class power in our overall interpretation of the association of development and democracy, is that class interests are not ahistorical givens; they are historically constructed by movements, organizations and leaderships that act in some particular environment of influences and oppositions, possible alliances and enmities. Once set, these constructions often persist beyond the constellation of origin. "Working class interests" are quite different when determined by social democratic parties than they would be as determined by Catholic or by Leninist parties.

The fact that class interests are historically constructed has crucial consequences for the analysis. It raises interclass relations to critical importance. One class may exercise hegemonic influence over another, and this will affect the alliance options among classes. The interests actually pursued by peasants and even by urban middle classes are often profoundly shaped by landlords, the

bourgeoisie, and the state as well as state-affiliated churches. The alliance developments at the top—among landlords, bourgeoisie, and the state—can be decisive for the alliance options of other classes. This is of critical importance for the chances of democracy because the working class, even the European working class, was too weak on its own to succeed in the final push toward democracy with universal suffrage.

Democratic Transition and Breakdown in Europe and South America

In 1870, only one European country, Switzerland, was a democracy. Many countries frequently thought to be democratic at this time such as Britain, Netherlands, and Belgium, had parliamentary government and competitive party systems, but the electorate was limited by income or property qualifications. By contrast, by 1920, almost all Western European countries were fully democratic. This period of transition to democracy in Europe was also marked by the arrival of the organized working class. The change in the underlying class structure as indicated by labor force figures is significant enough: between 1870 and 1910, the non-agricultural workforce grew by one-third to one-half, eventually reaching an average of 61 percent of the total workforce in the 13 European countries we studied. The change at the level of class formation and class organization was even more significant: in 1870, in no country were the socialists a significant mass-based party, and the trade unions organized a minuscule proportion of the labor force. By the eve of World War I, the major socialist and labor parties garnered an average of 26 percent of the vote (despite suffrage restrictions in a number of countries) and the trade unions organized an average of 11 percent of the non-agricultural labor force. In the immediate postwar elections, the socialists' electoral share increased to an average of 32 percent, while trade union organizations grew spectacularly, increasing two and a half times. The organized working class was also the most consistently pro-democratic force in the period under consideration: at the onset of World War I, European labor movements had converged on an ideology which placed the achievement of universal suffrage and parliamentary government at the center of their program (Zolberg, 1986).

Though the working class was the main agent of democracy in Europe, it needed allies. It found them in the urban middle classes and the independent small farming population. Without these groups, the working class was too weak to press through full democracy. Indeed, in Switzerland and Norway, two countries which (like the north and west of the United States during the Jacksonian period) might be termed agrarian democracies, these groups were more important in the struggle for democracy than the working class.

However, unlike the working class, both the urban middle classes and small farmers were not consistently pro-democratic: In some countries, they were ambivalent about the introduction to democracy and, in the interwar period, they provided mass support for fascism and other authoritarian movements which destroyed the new democratic regimes.

What was the role of the bourgeoisie, the class of the major owners of capital? In only three of the 13 European countries studied—France, Switzerland, and Britain—did any significant segment of the bourgeoisie play a leading role in promoting full democracy. Significantly, in all three of these cases, the bourgeoisie did not face a working class politically organized by socialist parties at the time of democratic transition; in ten of the other eleven countries, it did face such an opponent. Fear of challenges to property rights certainly played an important role in the reticence of propertied upper classes to support political inclusion of the working class.

As Barrington Moore has argued, the existence of a powerful class of landlords dependent on a large supply of cheap labor were associated with significant problems for democracy: In four of the five Western European countries in which large landholders played a significant political role towards the end of the nineteenth century—Germany, Austria-Hungary, Spain and Italy—democratic regimes collapsed in the interwar period. In each of these countries, the landed upper classes, in coalition with the state and the bourgeoisie, were crucially implicated in the weakness of the push toward democracy outside of the working class movement before World War I and in the events that led to the demise of democracy in the interwar period.

Does Latin America show similar developments? Patterns for large landholding and the existence of a powerful class of landlords with a need for a large cheap labor force also posed significant problems for democracy in South America. Breakthroughs to full democracy before the 1970s, even if temporary, were only possible where the large landowners were primarily engaged in ranching and thus had lower labor needs (Argentina and Uruguay), or where their economic power was undermined or counterbalanced by the presence of a strong mining export sector (Venezuela and Bolivia).

Like its counterpart in Europe, the bourgeoisie was not a promoter of full democracy in South America. As in Europe, the forces pushing for democracy were the organized segments of the subordinate classes, but the leadership roles were reversed. In South America the middle classes were the driving force, but they mainly promoted their own inclusion and thus often accepted restricted forms of democracy. For full democracy to be installed, the middle classes had to be dependent on working class support in their push for democracy, and they had to receive support from a working class which had some measure of strength.

Peron's Argentina (1946–55) provides a dramatic illustration that the working class was not invariably pro-democratic, and could be attracted to

support authoritarian rulers, if these rulers were the first ones to include the working class on a large scale and to promise to satisfy its material demands in the meaningful way.

The political history of 20th century Latin America is characterized by numerous breakthroughs to restricted or full democracies, then followed by breakdowns of democracy. Essentially, the economically dominant classes tolerated democracy only as long as what they perceived to be their vital interests were protected. Where the capacity of the state or political parties to channel and contain militant action of subordinate classes declined, economic elites turned to the military in search of allies to replace the democratic with authoritarian regimes.

State structure and state-society relations were inimical to democratization in Latin America in several ways. State consolidation had to be achieved in a much shorter period and later relative to economic development than in Europe, and without a consolidated state there could be no democracy. The independence wars (1810–25) and later wars over borders (for example, the War of the Pacific, Peru and Bolivia against Chile, 1879–83) left the societies with a strong legacy of militarism. Furthermore, rather than industrialization leading to urbanization and an export economy, as happened in Europe, Latin America saw the growth of the export economy and of urbanization preceding industrialization. This gave the state additional power, and in many cases led to attempts by the state to preempt an independent organization of the emerging industrial working class. Finally, in the post-World War II period the state's coercive capacity grew stronger, in part due to U.S. military assistance, as did the state's capacity to mobilize economic resources independent of domestic economically dominant classes. This gave the state greater autonomy from civil society and generated a new form of anti-democratic regimes, called bureaucratic-authoritarian regimes, in which the military as an institution exercised power and engaged in large-scale repression of labor movements and reformist political parties (as in Brazil after 1964, Chile after 1973, and Argentina after 1976).

These developments also involve the impact of the third power cluster, the ways in which the international economy and system of states were important for the trajectory of democratization in South America. The crucial role of the state as intermediary to international markets for goods, capital, and technology afforded the state significant autonomy from civil society. This autonomy was reinforced through external support for the security forces. The position of South American countries in the world economy as late and dependent developers, with imported technology, resulted in small industrial working classes compared to Europe at similar levels of economic development, and thus in class structures inimical to democratization. Economic dependence further meant high vulnerability to fluctuations in world markets, and the resulting economic instability made stabilization and legitimization of regimes difficult, whether those regimes were authoritarian or democratic.